

POLICYREADY • CALIFORNIA

How to Open a **Group Home Business** in California

Family homes & adult residential facilities through the regional center system

Step by Step

*From “where do I start?” to your first payment —
whether you start with a family home, or a licensed residential facility.*

A complete, plain-language guide for real people — not lawyers or consultants.
Figures current for 2026 • Verify all details with the State of California.

Read this first

This is a plain-language roadmap built from California's actual rules, agencies, and rate models. It is not legal, tax, or billing advice, and the details change — rates, service codes, and regulations update regularly (California just reformed its residential rates in 2025). Before you act, confirm the current specifics with your regional center, Community Care Licensing, your local fire authority, an attorney, an accountant, and an insurance broker. Every rule, code, and citation here is real and pulled from the state's own sources — but always check the current version before you rely on it.

What this guide covers

- Part 0 — The big picture: the regional center system, family homes vs. licensed facilities, and the two ways in.
- Part 1 — Path A: a certified family home through a Family Home Agency (the small, unlicensed start).
- Part 2 — Path B: a licensed Adult Residential Facility / group home.
- Part 3 — Who you need on your team.
- Part 4 — The home: what your house needs (fire clearance, sprinklers, capacity, zoning).
- Part 5 — Getting your first person placed.
- Part 6 — How you get paid: vendorization, the real service codes, and your first payment.
- Part 7 — What it costs and how long it takes.
- Part 8 — When they say “check locally”: who to call and exactly what to ask (Los Angeles & San Diego worked out).

PART 0

The Big Picture

Opening a group home in California is not like opening a normal small business, and the reason people get lost is that the information lives in a dozen different places. Here it is in one place.

The regional center system — the thing to understand first

California doesn't run its developmental-disability services out of one state office. The Department of Developmental Services (DDS) funds and oversees, but the day-to-day work runs through 21 nonprofit regional centers under the Lanterman Act. Each regional center serves a defined area, determines eligibility, assigns a service coordinator, and — crucially for you — writes each person's Individual Program Plan (IPP) and purchases the services in it. To get paid, you become a “vendor” of a regional center (a process called vendorization). That's the center of gravity for everything you'll do.

Family home vs. group home — what you're actually opening

There are two very different ways to open a home for adults with developmental disabilities in California:

- A certified family home (through a Family Home Agency) — an adult lives with your family in your home, and a Family Home Agency (FHA) recruits, trains, approves, and supports you. Family homes are NOT licensed by Community Care Licensing — DDS and the regional center set the standards. This is the small, host-home-style option.
- A licensed Adult Residential Facility (ARF) — the group home most people picture. It's licensed by Community Care Licensing (Title 22) and vendored by a regional center at a service level, with paid staff. Bigger operation, more oversight, more revenue.

The players — learn these names, you'll deal with all of them

- DDS — the Department of Developmental Services. Funds the system, sets the rates, and enforces family-home standards.
- Regional center — your local nonprofit (one of 21). Eligibility, the service coordinator, the IPP, and vendorization all run through it.
- Community Care Licensing (CCL) — the division of the Department of Social Services that licenses ARFs/group homes under Title 22 (family homes are not licensed).
- Family Home Agency (FHA) — the vendored agency that certifies and supports family homes (Path A).
- Vendorization — the approval process that makes you a paid provider; governed by Title 17.

The fork in the road — there are two ways in

- Path A — Become a certified family home through an FHA. Smallest, no CCL license, closest to a host home. You partner with an FHA that supports you; an adult lives with your family.
- Path B — Open a licensed ARF (group home). Licensed by CCL and vendored by a regional center at a service level, with staff. Bigger and more regulated, but it's the scalable business.

PART 1 • PATH A

A Certified Family Home (through an FHA)

Start here if you want the small, personal, host-home-style option — with no facility license.

Step 1 — Make sure it fits your life

A certified family home means an adult with a developmental disability lives with your family and shares your everyday life. It's a partnership built on a good match, not a facility. Everyone in the household is part of the screening, so this is a family decision.

Step 2 — Connect with a Family Home Agency (FHA)

On this path you don't get licensed yourself — you partner with an FHA that's vendored by your regional center. The FHA recruits, trains, approves, and monitors family homes, and its social-service staff visit regularly to keep the match and the supports working. Ask your regional center for the FHAs in your area, and interview more than one — how they support and pay family homes varies.

Step 3 — Get approved and trained by the FHA

The FHA completes your home approval and training under the DDS/regional-center standards in Title 17 (sections 56075–56099) — health and safety, individual rights, and a viable match. Because it's your private home, there's no Community Care Licensing license involved.

Step 4 — Welcome your family member

The FHA and the person's regional center service coordinator match you with someone whose needs and personality fit your home, with visits before the move. This match is the heart of the whole model.

Step 5 — Put your policies in writing

Even in a family home, you'll keep clear documentation — medications, emergencies, incident reporting, and the rights of the person you support. PolicyReady's California manuals are built for exactly this: ready to customize, just add your details.

Step 6 — Get supported, and get paid

The FHA bills the regional center and pays you. Because the person lives in your home, your family-home payments may qualify for the IRS “difficulty-of-care” exclusion (potentially non-taxable) — confirm with a tax professional. That first payment is the moment it all clicks.

PART 2 • PATH B

A Licensed Adult Residential Facility (Group Home)

The bigger operation. Two approvals run in parallel here — a license and a vendorization.

Step 1 — Set up the business & get experience

- Form your entity (LLC or corporation) and get your EIN.
- Line up the required experience: regional centers expect the administrator to have direct experience in a vendored residential setting — many people work as a DSP in an ARF first to qualify.

Step 2 — Get your Certified Administrator certificate

An ARF must have a Certified Administrator. You complete the ARF Initial Certification Training Program (an 35/40-hour course), pass the state exam, and clear a criminal-record background check through Community Care Licensing (live scan). The administrator must be at least 21 with a high school diploma or GED.

Step 3 — Get your facility licensed (Community Care Licensing, Title 22)

Secure your home, then apply to Community Care Licensing for an Adult Residential Facility license under Title 22. You'll complete the orientation, submit the application and program plan, pass background checks on the administrator and staff, and pass the facility's fire clearance and licensing inspection (see Part 4).

Step 4 — Get vendored by your regional center

Separately from licensing, you apply to your regional center to be vendored — now done online through the DDS Provider Directory. You'll write a Program Design (based on person-centered, normalization principles — different from the CCL application) and be assigned a service level (2 through 7) that reflects the residents' needs and drives your rate. The regional center makes a vendorization decision within 45 calendar days and assigns your vendor number and service code.

Step 5 — Insurance, policies & staffing

Carry the required insurance, put your policies and procedures in place (PolicyReady manuals), and hire and train your direct-care staff — at most service levels, staff must be awake at all times, including overnight (with limited exceptions at Levels 2 and 3).

Step 6 — Take residents, deliver services, and bill

Once licensed and vendored, the regional center refers residents whose IPP calls for your service level. You deliver services and bill the regional center monthly (see Part 6).

PART 3

Who You Actually Need (Staffing)

Certified family home (Path A): you and your household are the support. The FHA provides the professional oversight, training, and monitoring, and helps arrange respite/relief. You don't build a staff.

Licensed ARF (Path B): plan for a real team — one person can wear several hats at the start:

- Certified Administrator — runs the facility and holds the certificate; the license lives with this role.
- Direct-care staff (DSPs) — deliver day-to-day care and training; must complete DSP training and be awake at night at most service levels.
- Registered Nurse / consultants — for higher service levels and residents with health or behavioral needs (a Level 4 home and above brings more consultant and staffing hours).
- Administrative / billing support — handles regional-center billing and documentation.

Staffing hours scale with the service level — for example, a Level 2 four-bed home is modeled around 168 staff hours per week, and hours rise sharply at higher levels.

PART 4

The Home: What Your House Actually Needs

The key distinction

A certified family home (Path A) is a private residence — NOT licensed by Community Care Licensing — so it's held to DDS/regional-center health-and-safety standards, not the Title 22 facility rules. A licensed ARF (Path B) is a licensed facility with a fire clearance, a physical-plant inspection, and Title 22 requirements. Which path you choose changes what your house has to be.

“Do I need fire sprinklers?” — the honest answer

For a licensed ARF, it depends on two things: your capacity and whether any residents are nonambulatory or bedridden. Every ARF must obtain a fire clearance from the local fire authority (or the State Fire Marshal), and that clearance sets the requirements. A small ARF (six or fewer beds) serving ambulatory residents — people who can get themselves out in an emergency — generally is treated like a house and usually doesn't need commercial sprinklers. Once you serve nonambulatory or bedridden residents, or go to a larger capacity, sprinklers and stricter fire protection typically come into play. Because it's driven by the fire code and your local fire authority, confirm your exact home with them before you buy or renovate. A certified family home (Path A) is a private residence and doesn't carry the facility fire-clearance burden.

THE ARF HOME CHECKLIST (TITLE 22)

- A fire clearance from the local fire authority (or State Fire Marshal) — and you must tell CCL whether any resident is nonambulatory or bedridden.
- Smoke detectors and fire extinguishers, posted evacuation plans, and regular fire drills.
- Capacity is licensed in tiers — 6 or fewer, 7–15, 16–49, 50+ — with a 6-or-fewer home treated much like a single-family residence.
- A safe, clean physical plant: sound construction, working utilities, adequate bedrooms (no overcrowding), and accessibility appropriate to residents' needs.
- Fire-clearance and building requirements are stricter for nonambulatory residents — plan your resident type and capacity before you sign on a property.

Zoning — California protects small homes

- Under California law, a licensed residential facility serving six or fewer residents is treated as a regular residential use of property — allowed in any residential zone, just like a family home, and it can't be required to get a special use permit that single-family homes don't need.
- A family home (Path A) is likewise just a home. For larger facilities (7+), check local zoning. Either way, homes for people with disabilities are protected under the federal Fair Housing Act — confirm specifics with your city or county.

PART 5

Getting Your First Person Placed

You can't get paid until the regional center places someone with you. Here's how that happens.

1. The person is a regional center client. They've been found eligible under the Lanterman Act and are served by a regional center, which assigns a service coordinator.
2. The IPP calls for your service. The person's Individual Program Plan identifies a need for a family home or a residential facility at a certain service level.
3. You're vendored and visible. Once you're vendored (and licensed, for an ARF), the regional center's service coordinators can refer clients to you — remember, vendorization doesn't guarantee referrals, so let coordinators know your openings and specialty.
4. The match and placement. The service coordinator, the person (and family), and you confirm the fit; for a family home the FHA leads the match. The person moves in.
5. Services begin. With the placement in the IPP and authorized, you're delivering a billable service.

PART 6

How You Get Paid: Vendorization, Codes & Your First Payment

First, vendorization — the key that unlocks payment

You cannot bill a regional center until you're vendored. You apply online through the DDS Provider Directory to the regional center for the area where your home is located. The center reviews your application and, within 45 calendar days, either assigns you a vendor number and service code or issues a denial you can appeal. Once vendored, other regional centers can also use you — but keep your same vendor number. Vendorization is non-transferable and doesn't guarantee referrals (Title 17, sections 54300–54390).

The actual service codes

California uses numeric service codes (not HCPCS). The residential ones that matter, after the 2025 rate reform:

Service	Code	Notes
Adult Residential Facility — owner-operated	905	The group home you run yourself; rate by service level (2–7)
Adult Residential Facility — staff-operated	915	Group home run by employed staff; rate by service level
Supported Living Services (SLS)	896	Support for a person living in their own home
Independent Living Services (ILS)	520	Skill-building for independent living

For a group home, your everyday codes are **905 (owner-operated) or 915 (staff-operated), with your service level (2–7) setting the rate.** A Family Home Agency has its own vendored service code, and the FHA bills the regional center and pays the family home.

How much — and why it varies

- The rate model: California reformed residential rates effective January 1, 2025. Rates now come from standardized rate models (the DDS Vendor Rate Study), built for each service and service level, and they're published per regional center — so the rate for a Level 3 home in San Diego may differ from Los Angeles.
- Service level drives it: Levels 2–7 reflect residents' needs and required staffing; higher levels mean more staff and consultant hours and a higher rate. Level 7 is customized for extraordinary needs.
- How it's paid: ARF residential services are generally billed monthly, per resident, at your vendored rate. Room and board is handled separately from the service rate.
- Where to look: find your exact figure in your regional center's published rate models (DDS → Vendor Rates), or ask the regional center — rates update, so confirm the current number before you budget.

Your first payment

6. Confirm the authorization: the person's placement and your service level/rate are authorized by the regional center.
7. Deliver services and keep your documentation.
8. Bill the regional center monthly at your vendored rate (the FHA does this for a family home).
9. Get paid — and accept the rate as payment in full. You agree to accept the DDS-established rate as payment in full and to bill only for services actually provided; don't bill the person for a covered service.

PART 7

What It Costs & How Long It Takes

Timeline

A certified family home (Path A) can move relatively quickly — it's driven by the FHA's approval and a good match. A licensed ARF (Path B) is a months-long project: administrator certification, securing the property, the Community Care Licensing application and inspection, and vendorization (a 45-day decision once your application is complete) — often several months end to end. Confirm current timelines with CCL and your regional center.

Startup line items

Family home costs are modest — mainly your time, screening, and getting your home ready. An ARF adds real costs: administrator certification course and exam, business formation and insurance, the property itself (buy or lease), fire-clearance and licensing requirements, staff payroll, and your policies and procedures. Confirm current fees with CCL and your regional center.

PART 8

When They Say “check Locally”: Who to Call & What to Ask

In California, your regional center is the center of gravity, with Community Care Licensing and your local fire authority close behind. Here's who to call and exactly what to ask.

The statewide offices (same for everyone)

For...	Contact
General DDS info & the regional center lookup	DDS — 833-421-0061 · info@dds.ca.gov · dds.ca.gov/rc (enter your ZIP)
Vendorization (how to become a vendor)	dds.ca.gov → Vendor/Provider → Vendorization (Provider Directory)
Licensing an ARF / group home	Community Care Licensing (CDSS) — Adult & Senior Care Program (Title 22)
Rates (the rate models)	dds.ca.gov → Vendor Rates (per-regional-center rate models)
Family Home Agency questions	DDS Office of Community Operations — ocofha@dds.ca.gov

The local calls — and what to ask on each one

① YOUR REGIONAL CENTER — YOUR MOST IMPORTANT CALL

- “I want to open a family home / an ARF in this area. What's your vendorization process, and who is my resource coordinator?”
- “What service levels and openings are most needed here right now?”
- “(Family home) Which Family Home Agencies are vendored in this area?”

② COMMUNITY CARE LICENSING (FOR AN ARF) — THE LICENSE

- “I want to open an Adult Residential Facility for [capacity] adults. How do I start the license application, and when's the next orientation?”
- “What are the fire-clearance and physical-plant requirements for my capacity and resident type (ambulatory vs. nonambulatory)?”

③ LOCAL FIRE AUTHORITY — THE FIRE CLEARANCE

- “I'm licensing an ARF for [capacity] residents, [ambulatory / some nonambulatory]. What fire clearance do I need, and do I need sprinklers?”
- “Who performs the fire-clearance inspection, and how do I schedule it?”

Fully worked examples — California's two biggest markets

Most people start in or near one of these two. Note a real California quirk: Los Angeles County is split among several regional centers by health district, while San Diego has one.

LOS ANGELES (FIND YOUR REGIONAL CENTER BY ZIP)

- LA County is served by several regional centers — you're assigned by your home's ZIP/health district. Use the DDS lookup at dds.ca.gov/rc.
- The main LA-area regional centers: Frank D. Lanterman (213) 383-1300 (vendorization@lanterman.org); Harbor (310) 540-1711; North LA County (818) 778-1900; San Gabriel/Pomona (909) 620-7722; South Central LA (213) 744-7000; Westside (310) 258-4000; plus Eastern LA.
- Licensing: Community Care Licensing (CDSS) regional office for LA; local fire authority (city fire department or LA County Fire) for the fire clearance.

- The local quirk here: don't guess your regional center — LA is carved into health districts, so confirm yours by ZIP first.

SAN DIEGO (SAN DIEGO REGIONAL CENTER)

- One clean regional center: San Diego Regional Center (SDRC) — 4355 Ruffin Rd., Suite 200, San Diego, CA 92123; (858) 576-2931 (serves San Diego and Imperial counties). SDRC moved to the DDS Provider Directory for new vendorizations in 2026.
- Licensing: Community Care Licensing (CDSS) San Diego regional office; San Diego (city or county) fire authority for the fire clearance.
- The local quirk here: San Diego uses one regional center for the whole county, which makes it simpler than LA — attend SDRC's provider information session before you apply.

How to find your own regional center & offices

10. Enter your home's ZIP at dds.ca.gov/rc to find your regional center (this is assigned by location).
11. Call that regional center and ask for the vendorization / resource coordinator to start the process.
12. For an ARF license, contact the Community Care Licensing regional office; for the fire clearance, call your city or county fire authority.

CORE RULES & REFERENCES

- Lanterman Act — Welfare & Institutions Code (the foundation of the regional center system); WIC 4689.1 (family home agencies).
- Title 17, CCR, Division 2 — DDS regulations; Chapter 3, Subchapter 2 (§54300–54390) vendorization; §56075–56099 family home agencies.
- Title 22, CCR — Community Care Licensing standards for Adult Residential Facilities.
- DDS Vendor Rate Study rate models (2025 rate reform) — service codes (905, 915, 896, 520) and current rates by regional center.

You can do this.

Opening a group home in California is real work — the regional center system has a lot of moving parts — but it's a real, walkable path, and people across the state do it every day. You don't have to be a lawyer or hire a consultant. You need a safe home, a good heart, and a clear map — and now you have the map. Whether you start small with a family home or open a licensed facility, this guide takes you from your very first question all the way to your first payment.

Take it one step at a time, verify the current details with the State as you go, and lean on your regional center — that's what they're there for.

Prepared for PolicyReady.org. Grounded in California DDS and Community Care Licensing rules, the Lanterman Act, and Title 17 and Title 22 of the California Code of Regulations as of 2026. This guide is general information, not legal, tax, or billing advice. Requirements, rates, and codes change — always verify current details with the State of California before you act.